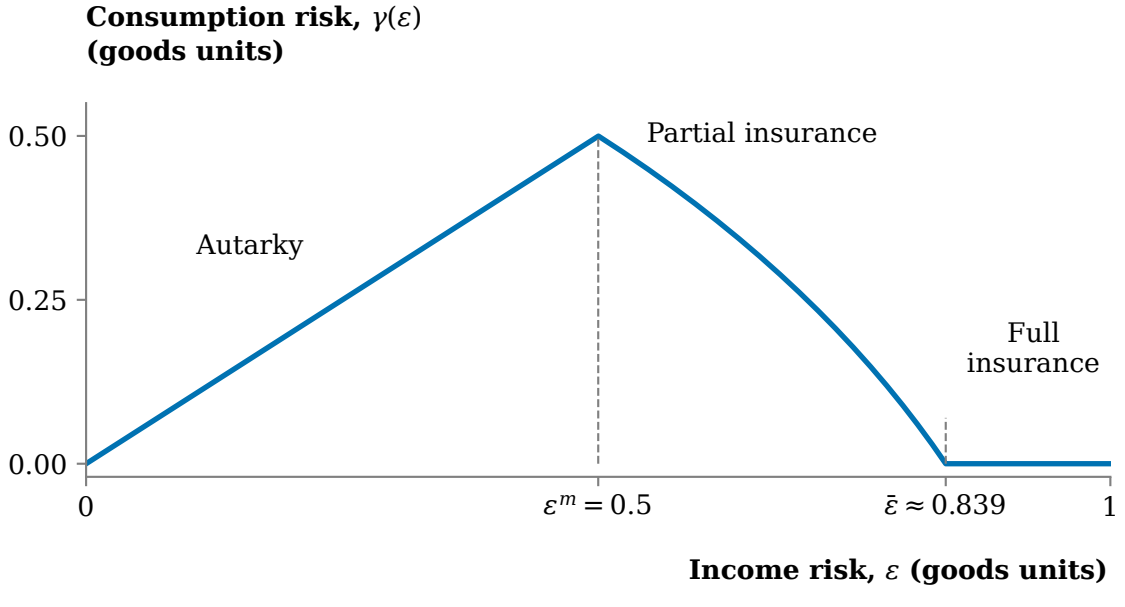
Consumption risk, $\gamma(\varepsilon)$
(goods units)
0.50
0.25
0.00
Partial insurance
Autarky
Full
insurance
0
$\varepsilon^m = 0.5$
$\bar{\varepsilon} \approx 0.839$
1
Income risk, ε (goods units)